AGA KHAN UNIVERSITY EXAMINATION BOARD

SECONDARY SCHOOL CERTIFICATE

CLASS X

ANNUAL EXAMINATIONS (THEORY) 2025

Principles of Accounting Paper II

Time: 2 hours 05 minutes Marks: 45

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INSTRUCTIONS

Please read the following instructions carefully.

1. Check your name and school information. Sign if it is accurate.

I agree that this is my name and school. **Candidate's Signature**

RUBRIC

2. There are TEN questions. Answer ALL questions.

3. When answering the questions:

   Read each question carefully.
   Use a black pointer to write your answers. DO NOT write your answers in pencil.
   Use a black pencil for diagrams. DO NOT use coloured pencils.
   DO NOT use staples, paper clips, glue correcting fluid or ink erasers.
   Complete your answer in the allocated space only. DO NOT write outside the answer box.

4. The marks for the questions are shown in brackets ( ).

5. You may use a simple calculator if you wish.

6. Wherever new terminologies are mentioned their old terminologies are mentioned in the brackets for your assistance.

Q.1. (Total 5 Marks)

Allied Manufacturing Company has purchased a machine for Rs 550,000 on January 1, 2022. The machine's estimated useful life is 100,000 hours, and its expected salvage value at the end of its useful life is Rs 50,000.

The given information represents the machine's yearly consumption:

Year	**Hours consumed by machine**
2022	21,000 hrs
2023	24,000 hrs
2024	25,000 hrs

a. Compute the depreciation by the 'working-hour method' for the year 2022, 2023 and 2024. (4 Marks)

b. Compute the book value for the year 2024. (1 Mark)

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Q.2. (Total 5 Marks)

The aging schedule of the trade receivable (accounts receivable) of United Traders is as follow.

United Traders					
Schedule of Trade Receivable (Accounts Receivable)					
Customer	**Total**	**Current**	**31 to 60 days**	**60 to 90 days**	**90 days and above**
Ruby Associates	30,000	10,000	10,000	5,000	5,000
Alpha Brothers	35,000	15,000		10,000	10,000
Al-Hamd and Sons	45,000	15,000	15,000	15,000	
Rabian Associates	50,000	20,000	10,000	10,000	10,000
Samiyan Traders	40,000	20,000	5,000	10,000	5,000
Total	**200,000**	**80,000**			

At the end of year 2024, the balance in trade receivable (accounts receivable) was Rs 200,000 and provision (allowance) for bad debts (doubtful debts) was Rs 15,000.

The following policy is adopted for the trade receivable (accounts receivable) aging rates.

Particulars	Rates for trade receivable (account receivable)
Current	5%
31 - 60 days	10%
60 - 90 days	15%
90 days and above	30%

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a. Compute the amount of bad debts (doubtful debts) expense for the year 2024. (4 Marks)

b. Prepare adjusting general journal entry for the bad debts (doubtful debts) for the year 2024.
(1 Mark)

Date	Particular	P.R.	Debit	Credit

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Q.3. (Total 5 Marks)

The following data is extracted from the books of Orient Traders.

Particulars	Debit	Credit
Prepaid rent	75,000	
Advertisement expense	50,000	
Office supplies	50,000	
Commission income		150,000
Salaries expense	75,000	

Data for adjustment

- Prepaid rent balance Rs 25,000
- Prepaid advertisement Rs 20,000
- Office supplies expense for the year Rs 35,000
- Unearned commission for the year Rs 35,000
- Salaries payable amounted to Rs 25,000

Prepare the adjusting entries for the given data.

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Date	Particulars	P.R.	Debit	Credit

Q.4. (Total 5 Marks)

The following data is extracted from the books of Atlas Traders.

Particular	Debit	Credit
Sales		350,000
Sales returns	15,000	
Purchases	250,000	
Purchases returns		15,000
Inventory (Stock) opening	75,000	
Prepaid rent	75,000	
Advertisement expense	50,000	
Office supplies	50,000	
Commission income		150,000
Salaries	75,000	

Other information:
Ending inventory (stock) Rs 95,000

Compute the 'gross profit' by preparing partial income statement.

Particular			

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Q.5. (Total 5 Marks)

The following records are extracted from a business that follows a 'single entry accounting system'.

Particulars	**Amount**
Capital at start	450,000
Drawing	35,000
Additional investment	25,000
Capital at end	250,000

Compute the unadjusted profit/ (loss) of the business.

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Q.6. (Total 4 Marks)

A trader sells merchandise worth of Rs 500,000 at a trade price of Rs 625,000.

Compute the profit margin and mark-up.

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Q.7. (Total 4 Marks)

During the preparation of a trial balance for the year ended December 31st, the accountant of Diamond Traders found that the debit and credit sides did not match. The difference of Rs 20,000 (Dr. balance) was placed temporarily in a suspense account to balance the trial balance.

Upon further investigation, the following errors were identified:

- A sales invoice of Rs 5,000 was recorded in the sales book but had not been posted to the customer's account.
- Cash received of Rs 8,000 from a debtor was correctly recorded in the cashbook but had not been posted to the debtor's ledger account.
- An equipment purchase of Rs 15,000 was debited to the repair expense account.

a. Post the journal entries to correct these errors. (3 Marks)

Date	Particulars	P.F.	Debit	Credit

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b. Prepare the suspense account balance after the corrections are made. (1 Mark)

Suspense account					
Date	**Particulars**	**Amount**	**Date**	**Particulars**	**Amount**

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Q.8. (Total 4 Marks)

Identify any FOUR types of accounting errors that do not affect trial balance in the given situations.

(Note: The first one has been done for your reference.)

S.No	Situation	Accounting error
1	**The full transaction is omitted from the books of accounts.**	**Error of omission**
2	The correct amount is entered but in the wrong entity.	
3	The amount is entered in wrong head or class of account.	
4	The effect on each other is cancelled by two wrongly entered transactions.	
5	A transaction is recorded correctly with reference to the figure or amount but wrongly marked as debit and credit.	
6	The amount was wrongly recorded by substituting two or more sequential digits.	

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Q.9. (Total 4 Marks)

The 'receipts and payment account' and 'income and expenditure account' are the financial records that are used to monitor and report the financial transactions of NPO (non-profit organisation) entity.

Distinguish between the two financial records in TWO points.

	Receipts and Payment Account	**Income and Expenditure Account**
1		
2		

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Q.10. (Total 4 Marks)

With reference to accounting for NPO (non-profit organisation), explain any TWO given concepts.

Accumulated fund: _____

_____

_____

_____

Subscription in arrears: _____

_____

_____

_____

Subscription in advance: _____

_____

_____

_____

Ancillary activities: _____

_____

_____

_____

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